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Using intellectual assets as a success strategy

Using
intellectual
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Abstract *You may be surprised to discover that millions of dollars in revenue are sitting, undiscovered, inside your own organization. Follow the authors as they walk you through different areas of your business to discover the untapped potential of “forgotten” intangible assets that may already exist, including patents, trademarks, licensing arrangements, employee know-how, infringement protection plans and much more. Learn how to manage these assets to their fullest potential by creating an Intellectual Asset Management Portfolio (I-AMP). The authors reveal their own five-step process and then present three case studies (an energy company, a high-tech manufacturer and a telecom company), which illustrate the remarkable increases in revenue generated by this program. In one case, \$1 billion was shifted from the expenditure to the revenue side of the ledger!*

Introduction

Intellectual capital management requires a fundamental shift in the way organizations value work.

Intellectual capital, or intellectual property, is an asset that is often ignored once it has been put to its initial use and “cataloged”. Such assets are roughly analogous to the “tailings” left by miners. Gold miners often left bits of gold behind because it was not worth their time or effort to sift through the rubble for small pieces – at least while gold was selling for a few dollars an ounce. But when the value of gold soared, the tailings became a small, easy-to-retrieve fortune.

Likewise, “intellectual capital” is often produced when an organization is pursuing a specific goal. Once that goal is achieved and the intellectual property is categorized – perhaps a product is patented or a work trademarked – the intellectual assets are often figuratively forgotten.

These bits of “forgotten” assets are largely intangible and include:

- Human assets – knowledge, skills, creativity and experience.
- Intellectual assets – information, memoranda, illustrations and publications.
- Intellectual property – patents, copyrights, trade secrets and trademarks.
- Structural assets – culture, organization models, processes and procedures, and distribution channels.
- Brand assets – awareness, reputation and goodwill.

But tangible assets can be forgotten as well. Consider empty plant space, unused inventory or even surplus cash. When taken together, all of these forgotten assets – both intangible and tangible – can add up to a potential windfall of value for any organization.

Sometimes, we limit our options (and ability to increase value) by viewing the individual elements for their “intended” purposes only. Better to view the entire picture as a larger asset pool that can be taken apart, reworked, or synthesized into new ventures.

The opportunities for capitalizing on your inventory of intellectual capital are enormous. Kevin Rivette and David Kline explore several examples in their book, *Rembrandts in the Attic: Unlocking the Hidden Value of Patents* (Rivette and Kline, 2000). The authors focus on tapping patents for new revenues. Their view is “patents, just like any other business asset, should be required to generate returns.”

Your inventory of intellectual capital can also be used for asset protection. The 1996 Economic Espionage Act and the World Trade Organization’s Agreement on Trade-Related Aspects of Intellectual Property Rights serve to protect you from infringement on intellectual property. However, to seek protection under these acts, you must be able to prove ownership, or at least be aware of the assets you own. An audit, or inventory, of intellectual capital can go a long way toward establishing ownership and determining value.

Digging for gold

Intellectual capital management may well be the success strategy for the future. New millennium managers will be required to understand both the tangible and intangible components of intellectual capital, and to develop management practices that support “harvesting knowledge”. These managers will be challenged to develop the behaviors needed to value intellectual capital and then manage that capital as an asset.

To begin managing intellectual assets effectively, you need to recognize that all assets are not equal. Some assets will require investment, others will require divestiture, and some may have no value. This may mean abandoning “sacred cows”, or, at a minimum, licensing (farming) them out. The bottom line is that knowledge asset management is a viable management tool.

You will also need to develop intellectual capital-focused management programs to generate revenue from administrative functions. Such business areas as legal, finance, human resource and management information have struggled to redefine themselves as “value-added” service providers. The challenge has been to find a way to take advantage of their core competencies.

Now, we find that an effective intellectual asset management program draws heavily on the skills inherent in these functions. Under such a program, the administrative functions perform crucial capabilities:

- The general counsel office has the necessary skills required to audit intellectual capital.

- Finance has the resources to value intellectual capital and track performance.
- Human resources has the ability to develop intangible asset monitoring programs and the systems to drive the required behavior changes.
- Management information systems are able to capitalize on large-scale system solutions such as ERP, since intellectual assets are an enterprise-wide resource.

Putting the plan in place

To achieve a significant return on your intellectual assets portfolio may require only a limited investment. The resources for creating and managing an asset portfolio already exist within most organizations. And developing an asset management process appears to reap benefits beyond the obvious financial returns. Some of these specific, long-term benefits may include:

- increased creativity;
- improved customer and supplier relationships;
- new products and services;
- improved productivity and increased revenue;
- improved staff attitudes and external image.

The drivers for developing an intellectual asset management program can be found in the 1996 Economic Espionage Act and the World Trade Organization's Agreement on Trade-Related Aspects of Intellectual Property Rights. As noted earlier, you must go at least as far as auditing intellectual property to take advantage of the protection provided by these programs.

While an audit is the catalyst, the resulting organizational behavior changes yield the greatest return. The five-step process for establishing an Intellectual Asset Management Portfolio (I-AMP) includes:

Step 1. Create awareness

What is the value of I-AMP? Everyone will need to know. This step sets expectations for the changes that need to be made and the anticipated financial returns. Since I-AMP will affect the organization's strategy, an effective communication and learning process will include a hands-on business simulation.

An effective simulation clarifies the business objectives and helps participants internalize the key concepts and issues. Only then can they truly support a change management program. An effective simulation helps your workforce identify the strategic and behavioral changes needed throughout the organization, and helps everyone understand the action steps they need to take as individuals.

Step 2. Determine audit content

The material should be driven by the nature of your business. Consider the following:

- Internal structure – the policies, processes and procedures used within the organization.
- External structure – your organization’s reputation and image with customers and stakeholders.
- The competence of your staff.

More specifically, you may wish to include:

- Previous intellectual property reports.
- Documents and filings pertaining to the registration of patents, copyrights, trade secrets, etc.
- License agreements.
- Creative and/or productive processes.
- Test results, blueprints and drawings.
- Employee and contractor résumés.
- Market and/or customer surveys.
- Other material related to intellectual property or intangible assets.

This is the identification process. The information and feedback you uncover in Step 1 should also help determine the content of your audit. The audit itself is essentially a scorecard measure of performance. You are determining the potential value of intellectual assets and aligning those assets with ongoing initiatives defined by the organization.

Since the law unequivocally demands that the owners of trade secrets proactively protect them, your audit must examine and rate your security measures, labeling practices, trade secret disclosure programs and the like. This step produces two scorecards: the first rates the relative value of the material, and the second grades the organization’s secrecy practices.

Step 3. Develop the I-AMP

The portfolio development process may begin by creating a simple grid of the organization’s business, and determining if the material compiled in the audit is actively being used.

The initial outcome is a three-pronged matrix to help you analyze your asset allocation. You will be able to see the direct application of intellectual capital, the unused intellectual capital with potential application, and the intellectual capital that is unlikely to be used. (See Rivette and Kline’s discussion of the Dow case for a more detailed presentation of this concept.)

Once you plot the intellectual capital and determine an initial relative value, you are ready to develop a portfolio management strategy. Remember, this strategy may include investments, divestiture and/or abandonment of intellectual assets.

Step 4. Develop an intangible assets monitor

An intangible assets monitor tracks asset performance as well as the tangible and intangible investments made. The specifics of the monitor will vary by organization, but, like the audit, it will have the same general focus:

- Internal structure – the processes used within your organization.
- External structure – your organization's reputation and image with customers and stakeholders.
- The individual competence of staff members.

The monitor is used to highlight the outcome(s) of I-AMP. It is also a working tool for developing and monitoring long-term knowledge management strategies.

Step 5. Put the I-AMP to work

Incorporate your I-AMP into your strategic business planning process. Consider your intellectual capital an asset and report it accordingly to your strategic planning groups, internal development teams, bankers and venture capitalists, shareholders, and other interest groups.

Case studies: the I-AMP in action

The situations summarized below were conducted in 1998-1999 under a strict set of confidentiality and non-disclosure agreements. They were part of a test application of the I-AMP.

The energy company

Internal general counsel office staff, R&D, knowledge management and select operating staff, as well as members of the company's external audit team conducted an intellectual capital audit.

The goal of the exercise was to identify commercialization, licensing, joint venture and strategic alliance opportunities for select technologies already patented or about to be patented.

The initial result was a saving of just under \$100 million in tax and maintenance fees for non-performing properties. The company chose to donate these properties to universities, government research institutes, non-governmental organizations and multilateral agencies.

The more spectacular outcome, shifting \$1billion from the expenditure to the revenue side of the ledger, was the result of a transaction that combined barter, licensing and sale elements. These involved the exchange of access to unique technologies for access to primary recovery fields in emerging and developing economies.

The high-tech manufacturer

Internal general counsel, R&D, strategic management and select operating staff, as well as members of the company's outside legal counsel and audit staffs were involved in this company's intellectual capital audit.

Infringement issues surfaced almost immediately. In the course of analysis, these were traced to:

- a failure to map the intellectual property landscapes of both the company and its direct and indirect competitors;
- a failure to adequately protect clusters of strategic technologies; and
- the unintended abandonment of select properties vital to the company's interests.

Accordingly, the company's goal became stemming losses from infringement.

Since infringement was largely confined to three direct competitors, the company outlined an alternative dispute resolution (ADR) strategy. A mediation/negotiation process then resulted in the sale, joint venture and licensing of the previously infringed properties, and \$500 million was added to the company's bottom line.

The North American member of a European Telecom consortium

Spurred by the World Trade Organization's Agreement on Trade-Related Aspects of Intellectual Property Rights, this company is representative of an entire class of businesses which are recognizing the importance of managing intangible assets on an international basis.

Working with both internal and external consultants and a wide variety of internal company representatives, the organization conducted an intellectual capital audit.

The goals of this exercise included, but were not limited to:

- generating new revenues and boosting earnings per share through licensing, joint venture, strategic alliances, etc.;
- increasing overall corporate valuation for better access to equity and other financing opportunities;
- acquiring exclusive protection for select clusters of strategic technologies;
- blocking direct and indirect competitors' technology strategies;
- avoiding one's own infringements and detecting the infringements of others.

Fully one-third of the \$3 billion in new revenue came from identifying and subtly, but aggressively, pursuing "infringers" through ADR procedures. An additional one-third came from overhauling and leveraging licensing policies, practices and procedures. A final one-third came from restructuring intellectual capital and using effective intangible asset management to develop this area into a new core competency.

Untapping the potential

The I-AMP, and similar programs that capitalize on intellectual assets, help organizations realize the value of developing their intellectual capital within a true “learning organization”.

Much of the discussion around knowledge management and intellectual capital focuses on issues that are not important, such as whether an initiative is driven top-down or bottom-up. What is important is the value of the knowledge assets within the organization, and how management decides to reward and recognize the individuals who create and enhance that value.

Developing an I-AMP is one way to benefit both the organization and its employees. As illustrated earlier, the I-AMP draws on the core competencies of several functional areas, giving both the team as a whole and individual staff members opportunities to make meaningful contributions. Found or newly developed resources benefit the organization most directly with increased revenues. Individuals benefit by increasing their knowledge, developing their skills and achieving greater career satisfaction.

The I-AMP can bring new life to old ideas. Rivette and Kline cite one example where a defense contractor earned a significant return on 3-D flight simulation software which it was able to use in a spin-off that competed in the PC graphics and video game business. The value of that intellectual property went from zero to several hundred million dollars. Imagine the satisfaction of the organization’s general counsel, the creators of the patents, and the shareholders, at this discovery! The I-AMP clearly established a foundation for such creativity.

Once you catalog intellectual capital, managing those assets can be straightforward. The process can also involve a broad cross-section of the organization. The challenge is to manage those assets effectively, and to avoid limiting management by past use or practices.

Programs like the I-AMP should interest shareholders, venture capitalists and management alike. Perhaps the first ones to realize the greatest benefit will be the emerging “dot.coms” that can use intellectual capital management strategies to establish a clear competitive advantage.

With such a high potential return, it seems the greatest challenge may be making everyone aware of the untapped value that exists within the organization.

The I-AMP helps organizations achieve a clear purpose, with a well-defined set of objectives. While international and US laws help drive this program in many companies, all organizations should take note. After all, how many opportunities do you have to increase revenue with minimal investment and no discernible risks?

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